

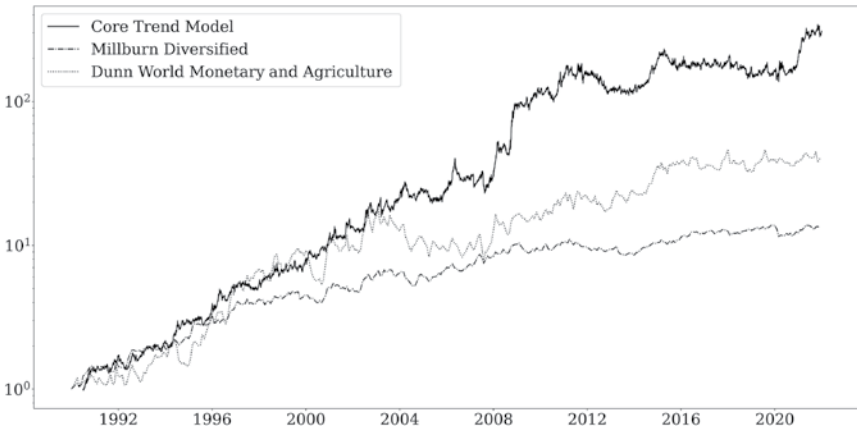


FIGURE 4.9 Core strategy compared to benchmark funds.

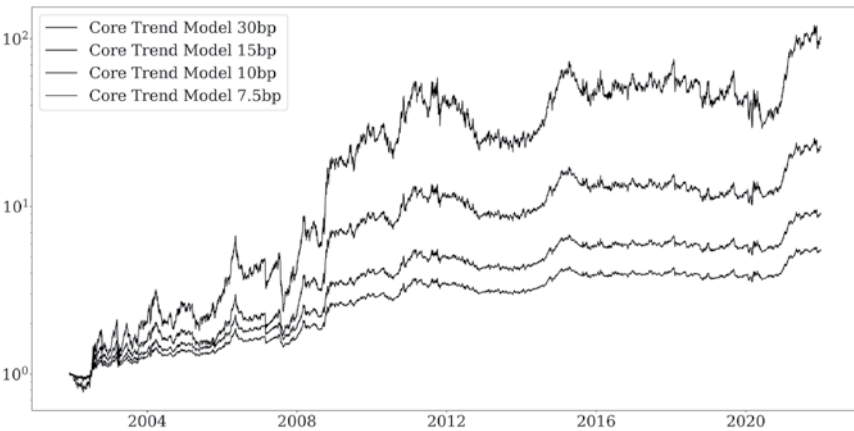


FIGURE 4.10 Toggling the risk level.

to manipulate our strategy results even further and provide an even greater outperformance. As Mark Twain famously said, there are three kinds of lies: lies, damned lies, and backtests.

Here are a few of the problems with comparing our theoretical strategy to that of the real-world results of these funds. First, our strategy is a back-test and thereby a theoretical return of strategy created after the fact. These rules are created to explain trend following as a phenomenon and to teach the principles behind it. They are a learning tool, and should be seen as such.

Second, these funds charge a management and performance fee for taking care of investors' money. Our strategy is not yet loaded with such fees, and therefore the comparison is not fair.